

Paying More Did Not Bring More Power

Edition 3 in the Energy, Infrastructure & Climate Resilience series. Previous Decision Intelligence briefing: 'The Summer the Grid Said No' (July 2026).

Cycle: 17 September 2026 · Audience: Senior strategy, foresight, infrastructure, risk and policy professionals · Horizon: 6 to 18 months primary, 2 to 5 years secondary
Read estimate: 6 min Executive Synthesis · 25 min full read

What you will learn

1. Why a capacity price at its ceiling now tells you supply is absent rather than that supply is coming
2. How four regulators turned a connection request into a long contract with terms, collateral and exit costs
3. Which constraint actually binds your 2029 plan: equipment lead times, connection terms, or cooling water

Key takeaways

1. PJM's 2028/2029 auction cleared at its \$325.00/MW-day cap, 6,831.3 MW short, and procured 317.1 MW of new generation
2. Twenty-three US states now hold a large-load tariff; Oregon's runs to 30 years with 90% minimum demand charges
3. Cernavoda went fully offline for only the second time ever and the Rhine cut coal barge loadings by three-quarters

Why This Matters Now

Electricity buyers spent most of 2026 discovering that money is no longer the binding constraint. Prices hit their ceilings, bills went up, and almost no new power arrived, because what is actually scarce is the equipment, the permission and the water to run a plant, not the willingness to pay for one.

Three responses are under way at once. Regulators on three continents have rewritten what a large new customer must sign before it can connect. Governments have started deciding in public who carries the cost of the network that customer triggers. And the manufacturers have sold out their factories to 2030.

The one thing to take into the next meeting: treat a connection as a long contract with obligations, not as a place in a queue, and check whether anything you own or finance depends on a river behaving the way it used to. The early warning is the terms sheet, not the price.

Executive Synthesis

Which decisions on your desk this week assume that a high enough price will bring the power?

The evidence in this report says the highest price the rules allow bought 317 megawatts.

The defining fact of this cycle is that the electricity system reached the top of its price signal and got almost nothing back. PJM's 2028/2029 capacity auction cleared at the administrative cap of \$325.00/MW-day, finished 6,831.3 MW below its own reliability requirement, and brought forward 317.1 MW of genuinely new generation ([PJM 2028/2029 Base Residual Auction Report](#), Jul 2026). That is under 5% of the shortfall, procured at the highest price the rules allow. The auction is not failing to work; it is doing exactly what its designers say it does. PJM's own market-design paper calls this a credibility trap and states plainly that "The market is generating the price signal it was designed to generate during a shortage." ([PJM, Powering Reliability Through Market Design](#), May 2026) The signal is intact. What the signal is supposed to summon is not available at any price inside the delivery window.

Three mechanisms explain why, and they are the spine of the cycle. **Equipment:** the three large-frame turbine makers have sold the decade. GE Vernova's gas backlog plus slot reservation agreements moved from 100 GW to 116 GW in a single quarter, with at least 125 GW expected under contract by year end ([GE Vernova](#), Jul 2026); Mitsubishi's large-frame backlog reached 35 GW against 23 GW a year earlier, with orders booked in the first quarter of 2026 scheduled for delivery between 2028 and 2030 ([Utility Dive](#), Aug 2026); Siemens Energy's stands near 69 GW with lead times beyond three years

([Utility Dive](#), Aug 2026). Large power transformers now run to four-year lead times ([pv magazine USA](#), May 2026). **Permission:** between June and August, FERC opened show-cause proceedings against all six organised US markets ([McGuireWoods](#), Jun 2026), the Public Utility Commission of Texas ordered that a co-located large load must be able to disconnect fully within thirty minutes regardless of its paired generation ([White & Case](#), Aug 2026), Ofgem moved to clear speculative data-centre projects out of a queue that has run from 41 GW to 125 GW ([Ofgem](#), Jul 2026), and Japan placed a binding efficiency floor on data-centre operators from April 2026 ([Japan's Agency for Natural Resources and Energy](#), May 2026). **Payment:** twenty-three US states now hold at least one large-load tariff, with seven more pending ([Columbia's Sabin Center](#), Jun 2026), while Spain has drafted a decree that would make continued network access conditional on the load bringing its own new renewable supply ([Aragon Digital](#), Sep 2026).

The signal is intact. What the signal is supposed to summon is not available at any price inside the delivery window.

What should surprise leadership is the contrast case. In the same summer, ERCOT met an hourly peak of 91.1 GW, 6% above its previous record, primarily with natural gas at 48% and solar at 32%, and did so with more than 20,000 MW of committed headroom above demand ([US Energy Information Administration](#), Aug 2026) ([The Texas Tribune](#), Jul 2026). Nothing about Texan physics is different. What differs is that the capacity arrived before it was needed rather than being bid for afterwards. Meanwhile the politics has detached from the engineering: Maryland and Pennsylvania both announced the same auction result as a \$13.3bn saving delivered by a price cap ([Governor of Maryland](#), Jul 2026) ([Governor of Pennsylvania](#), Jul 2026), and New Jersey households are carrying bills roughly 20% higher with capacity charges making up 15% to 20% of the bill ([New Jersey Board of Public Utilities](#), Aug 2026). A cap that holds the price down while the shortfall widens is a bill-management instrument, not a procurement one, and on this briefing's reading the gap between those two things is the exposure that most balance sheets have not yet priced.

The second surprise sits in the water. Romania's Cernavoda plant, normally a fifth of national supply, was fully offline in August for only the second time in its history ([Euronews](#), Aug 2026); French output fell around 3% in June and around 6% in July with a record 15.6% of capacity missing ([Agence France-Presse, via Boursorama](#), Aug 2026); Alpine hydro ran at 48% to 68% of normal ([Euronews](#), Aug 2026); and the Rhine at Kaub fell to 28 centimetres, cutting inland coal barge loadings by roughly three-

quarters ([Insurance Journal](#), Jul 2026). Taken together, the sources suggest river flow and river temperature have become scheduling inputs rather than tail risks, which changes how a thermal or nuclear asset should be valued and how a fuel contract should be written.

Where this analysis could be wrong

The load-bearing assumption in this synthesis is that the shortfall is a delivery problem rather than a demand-forecast problem. If the large loads being planned for do not arrive, the auctions are pricing a phantom and the correct posture is patience, not procurement. That case is not weak: ERCOT's own queue holds around 460,000 MW of interest against a system that peaked at 91.3 GW ([The Texas Tribune](#), Jul 2026), which is a ratio no forecaster treats as literal. The evidence that would force a material revision is a hyperscaler capex guidance cut sustained across two consecutive quarters, or the first RTO to report a net decline in active large-load interconnection requests. Neither has happened: aggregate hyperscaler capex reached roughly \$490bn in the twelve months to May 2026, though the share funded by incremental debt rose from 9% in FY24 to 32% ([FactSet](#), Jul 2026). If that debt share keeps climbing while revenue does not, the demand correction arrives through the funding market rather than through the forecast, and it arrives faster.

The decisions that cannot be deferred this cycle

1. **Re-underwrite every large-load connection you hold or plan as a long-dated contract.** Oregon's approved framework runs to thirty years with 100% of distribution upgrade costs and minimum demand charges at 90% of contracted capacity; a queue position is no longer the asset.
2. **Secure a delivery slot rather than a technology choice.** With the three major backlogs between 35 GW and 116 GW and transformers at four years, the scarce item is the manufacturing window, and it is being sold forward now.
3. **Put a river test into asset valuation and fuel logistics before the next planning round.** The Rhine and the Danube took generation and fuel deliveries offline this summer, and the same hazard arrived on the demand side as record peaks.

Each is developed below, with a decision posture, in the four Strategic Implications.

Continuity ledger: what the July edition said and what happened

Seven items: the six milestones the 16 July edition set for this cycle, plus one correction to a figure that edition published. Each carries a verdict and a post-cycle source.

Obligation	Verdict	What changed
PJM 2028/2029 BRA clearing price	CONFIRMED	Cleared at the \$325.00/MW-day administrative cap, 6,831.3 MW short of requirement, with 317.1 MW of new generation (PJM 2028/2029 Base Residual Auction Report , Jul 2026).
Whether any grid actually executes data-centre curtailment	BROKEN	It did not. PJM held the authority obtained on 18 May (Utility Dive , May 2026), served an all-time peak of 168,158 MW on 2 July with about 6,113 MW of demand response, and states the backup-generator action was never issued (PJM , Jul 2026).
Correction to the 16 July edition	REOPENED	That edition reported the 2 July peak as roughly 162.7 GW, below the 2006 record. PJM's own figure is 168,158 MW, which broke the 165,563 MW record (PJM , Jul 2026). The July reading that the record held is withdrawn.
Q2 2026 hyperscaler capex prints	CONFIRMED	Capex held and rose, reaching roughly \$490bn across five hyperscalers in the twelve months to May 2026, but incremental debt as a share of capex went from 9% to 32% (FactSet , Jul 2026): the buildout confirmed, the funding changed.
Atlantic 2026 season versus the soft-reinsurance- pricing bet	CONFIRMED	First-half insured catastrophe losses were \$46bn, the lowest since 2019 and 28% below the ten-year average, and property reinsurance rates fell 12% at January and 16% at the July renewal (Insurance Business , Jul 2026). The season itself is not over.
Data-centre water- permit denials as a siting gate	CONFIRMED	No headline denial, but Virginia's environmental regulator found no location east of Interstate 95 can support a three million gallon per day industrial groundwater withdrawal under current standards (Data Center Knowledge , Jul 2026), which is a stronger gate than a refusal.

California FAIR
Plan exposure
trajectory

UNRESOLVED

Growth decelerated, at 15,779 policies and \$27bn added in the first quarter, still 25% higher year on year ([Intelligent Insurer](#), Apr 2026). The California wildfire-credit theme is not carried this cycle, so this milestone is handed forward rather than closed.

Bank of England
climate scenario
and DyGIST
results

UNRESOLVED

The live simulation closed in May 2026 and findings are stated as due at aggregate level later in 2026 ([the Bank of England](#),). Carried to the next cycle.

Audience Snapshots

Four lenses on the same evidence base, one per audience. Each card surfaces the one question this cycle puts to that reader.

IF YOU ARE TRYING TO CONNECT A LARGE NEW LOAD

What are you actually signing, and for how long?

The shift: Connection has moved from a queue position to a contract with term, collateral, minimum charges and exit cost: Oregon's approved framework runs 10 to 30 years by size with 100% of distribution upgrade costs on the customer ([Utility Dive](#), May 2026), and Texas requires full disconnection within thirty minutes regardless of on-site generation ([White & Case](#), Aug 2026).

The question to brief: Does our site economics survive a thirty-year minimum demand charge at 90% of contracted capacity, and who inside the business owns that liability?

IF YOU SET OR APPROVE NETWORK TARIFFS

Which instrument are you actually using, and what does it do when demand disappoints?

The shift: Twenty-three states now hold a large-load tariff and seven more have one pending ([Columbia's Sabin Center](#), Jun 2026), Spain would make network access itself revocable ([Aragon Digital](#), Sep 2026), and Germany is subsidising transmission charges to hold bills down ([Bundesnetzagentur](#), May 2026): four different answers to one question.

The question to brief: If the forecast load does not arrive, does our tariff leave the stranded network cost with the developer or does it return to the household bill?

IF YOU FINANCE OR INSURE GENERATION ASSETS

Are you underwriting a plant or a delivery slot?

The shift: The turbine order books have absorbed the decade ([GE Vernova](#), Jul 2026) and IEEFA puts the newest combined-cycle proposals at \$2,500 per kW ([IEEFA](#), Apr 2026), while what actually came online in the first half of 2026 was 11,458 MW of solar and 8,207 MW of batteries against 2,707 MW of gas ([Inside Climate News](#), Aug 2026).

The question to brief: Does our capital plan assume a gas unit we cannot take delivery of before 2030, and what is the cost of the storage-plus-solar bridge in the meantime?

IF YOUR PLANT DEPENDS ON RIVER OR SEA WATER FOR COOLING

What is the derate you have never modelled?

The shift: Cernavoda went fully offline ([Euronews](#), Aug 2026), French output fell around 6% in July with a record 15.6% of capacity missing ([Agence France-Presse, via Boursorama](#), Aug 2026), and the Rhine at Kaub cut coal barge loadings by roughly three-quarters ([Insurance Journal](#), Jul 2026): all inside one season.

The question to brief: What is the revenue and reliability consequence if our water constraint binds for six weeks rather than six days, and does any contract we hold price that?

Themes

The cycle's signals are organised into five themes, ranked by impact on near-term decisions.

Immediate: changes the near-term plan, the corporate structure or the proposition. **Near-Term:** changes competitive position over the next twelve months. **Longer-Range:** a multi-year structural factor to track and revisit each cycle.

1. Paying more did not buy more power

IMMEDIATE

The price signal your capital plan relies on has stopped clearing supply, and that changes what a capacity charge tells you. PJM's 2028/2029 auction hit its administrative ceiling, closed 6,831.3 MW below the reliability requirement it exists to meet, and drew forward 317.1 MW of new generation ([PJM 2028/2029 Base Residual Auction Report](#), Jul 2026). Any plan that treats a rising capacity price as a signal that supply is coming is reading the wrong instrument: it is a signal that supply is absent. The immediate consequence is that scarcity cost now lands on the bill and on the political calendar rather than on the build programme.

PJM 2028/2029 Base Residual Auction: what the ceiling price procured

Megawatts, 2028/2029 delivery year

Shortfall against the reliability requirement

6,831.3

317.1

New generation procured

Clearing price: **\$325.00/MW-day UCAP**, the administrative cap, for the third auction running.

New generation covered **4.6%** of the shortfall the price was meant to close.

Source: PJM 2028/2029 Base Residual Auction Report, July 2026. Bars are to scale against each other.

- The auction cleared at its own ceiling for the third consecutive time, which means the price no longer carries information about how short the system is ([Utility Dive](#), Jul 2026).
- PJM says the mechanism is working as designed, not failing: its market-design paper names a credibility trap and states that “The market is generating the price signal it was designed to generate during a shortage.” ([PJM, Powering Reliability Through Market Design](#), May 2026)
- The cost is already in household bills. New Jersey regulators put the increase at around 20%, with capacity charges accounting for 15% to 20% of a residential bill ([New Jersey Board of Public Utilities](#), Aug 2026).
- ERCOT is the control case: an hourly record of 91.1 GW on 22 July, 6% above the 2023 record, met primarily with gas at 48% and solar at 32% ([US Energy Information Administration](#), Aug 2026), with over 20,000 MW of committed headroom at the moment the record was set ([The Texas Tribune](#), Jul 2026).

Counter-argument

The most credible challenge is that a capped auction cannot be judged on what it procured, because the cap itself suppressed entry: a price allowed to rise further might have cleared more supply, and the states that negotiated the ceiling own that trade-off. Sierra Club argues the opposite, that annual customer costs in PJM have risen by \$12.5bn since June 2025 and the cap is insufficient rather than restrictive ([Sierra Club](#), Jul 2026). Both readings can hold, and they converge on the same test: whether the 2029/2030 auction, run under whatever cap then applies, brings forward materially more than 317.1 MW. If it does, the constraint was the ceiling. If it does not, the constraint is delivery, and this theme holds.

Decision link: Strategic Implications [1](#) and [4](#).

2. The regulator rewrote the rules for every large load

IMMEDIATE

Within four months, four jurisdictions independently converted “connect a large customer” from an engineering request into a conditional contract, and they did it without coordinating. If your growth plan assumes the terms you signed under, or expected to sign under, it is already out of date in at least one market you operate in. The practical consequence is that the binding variable has moved from whether power is available to what you must accept in order to take it.

- FERC issued section 206 show-cause orders on 18 June to all six organised US markets, requiring each to justify or reform how it integrates large loads, with a 17 August response deadline ([McGuireWoods](#), Jun 2026); the agency chose regional rules over a national standard and kept intervention in reserve ([Utility Dive](#), Jun 2026).
- Texas went furthest on operational terms: the Public Utility Commission's 24 July order affirms that a co-located large load must be capable of full disconnection within thirty minutes, regardless of the generation paired with it ([White & Case](#), Aug 2026).
- Britain attacked the queue rather than the connection. Ofgem is clearing speculative projects from a pipeline that has grown from 41 GW to 125 GW, of which roughly 80 GW is data centres, and is introducing a commitment fee ([Ofgem](#), Jul 2026), with deposits, progression fees and post-offer milestones proposed for demand connections ([Herbert Smith Freehills Kramer](#), Jul 2026).
- Japan regulated the load itself rather than its connection: from April 2026 data-centre operators must report electricity use and PUE, publish targets annually, and reach 1.4 or below by fiscal 2030 and 1.3 for centres built from fiscal 2029 ([Japan's Agency for Natural Resources and Energy](#), May 2026).

Early indicators

- **WEAK SIGNAL** **Access as the sanction.** Spain's draft decree would make repeated failure to source 80% of supply from new renewables cost a data centre its network access outright. The Spanish is unambiguous: “El incumplimiento reiterado podrá acarrear la pérdida del acceso a la red.” ([Aragon Digital](#), Sep 2026) It gains weight if a second member state copies revocable access rather than a financial penalty.
- **WEAK SIGNAL** **Efficiency floors as entry control.** Japan's 1.3 PUE requirement for centres built from fiscal 2029 ([Japan's Agency for Natural Resources and Energy](#), May 2026) is a hard performance number aimed at the load rather than the grid. It gains weight if a US state or the Commission adopts a numeric floor in a tariff.

Counter-argument

The reforms may reprice access without restricting it. FERC explicitly preserved state authority over retail sales, eligibility and siting ([Utility Dive](#), Jun 2026), and its own docket frames the objective as connection that is “timely, orderly, reliable, and non-discriminatory” ([FERC Docket RM26-4](#), accessed Sep 2026), which is an acceleration mandate as much as a restriction. NERC's assessment records 58.5 GW of resource additions against 11 GW of demand growth ([NERC 2026 Summer Reliability Assessment](#), May 2026), so the adequacy case for tightening is not uniform. The test is whether any of the six RTO filings made after 17 August actually reduces the volume of load that can connect, rather than reordering who connects first.

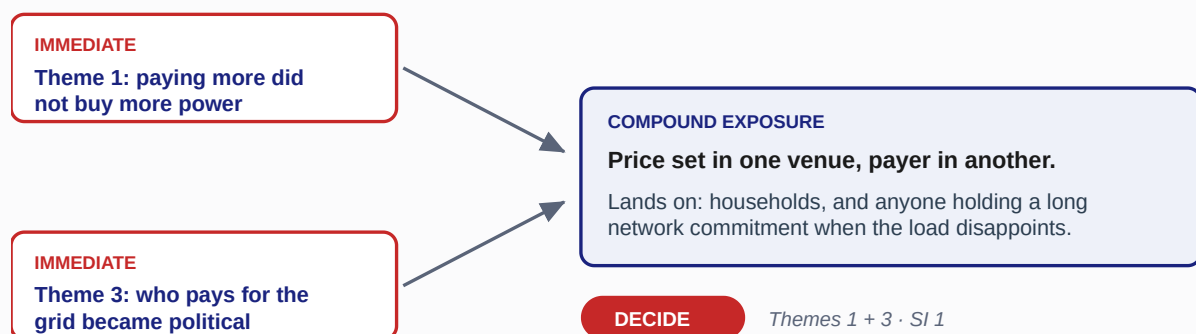
Decision link: Strategic Implications [1](#) and [4](#).

3. Who pays for the grid became the live political question

IMMEDIATE

Cost allocation stopped being a rate-case technicality and became an instrument with teeth, decided in public and often in an election year. For anyone building, financing or supplying a large load, the jurisdiction's chosen instrument now materially changes the project's cost base, and the instruments differ more than the underlying problem does. The consequence is that the same data centre carries a different balance sheet in Oregon, Madrid and Munich.

Where Theme 1 meets Theme 3



Drawn from the cross-impact grid in the Energy, Infrastructure and Climate Resilience Change Tracker (27 August 2026 cycle), re-sourced against this cycle's evidence base.

- Twenty-three US states hold at least one large-load tariff and seven more have proposals pending, with Virginia's effective from 1 January 2027 ([Columbia's Sabin Center](#), Jun 2026); new tariff filings ran at 29 approvals in 2025 against 14 across the whole of 2018 to 2024

([Smart Electric Power Alliance](#), Apr 2026).

- Oregon shows what a settled instrument looks like: contracts of 10 to 30 years by project size, 100% of distribution upgrade costs on the customer, minimum demand charges at 90% of contracted capacity, and a 1 cent/kWh surcharge above 100 MW recycled to residential and low-income customers ([Utility Dive](#), May 2026).
- Washington answered with voluntary commitment rather than tariff: the expanded Ratepayer Protection Pledge claims coverage of 80% of all power delivered to US homes and businesses ([the White House](#), Jul 2026), a scale claim that rests on the signatories honouring it.
- Europe is using two different levers at once: Germany has directed a federal subsidy at transmission charges and reformed network-cost sharing ([Bundesnetzagentur](#), May 2026), while the Commission proposed in July to cut network charges for specific consumer groups ([European Commission](#), updated Jul 2026) and Spain would attach a renewable-sourcing condition to access itself ([Aragon Digital](#), Sep 2026).

Counter-argument

A tariff written for a boom is tested by a bust. If the forecast load does not arrive, the network built against it is still in the rate base, and the developer-pays terms that look protective today are only as good as the counterparty's balance sheet in 2031. The clearest warning sits in the funding mix rather than the tariff: hyperscaler incremental debt as a share of capex rose from 9% in FY24 to 32% in the year to June 2026 ([FactSet](#), Jul 2026). On the available evidence the instruments transfer cost but not the underlying demand risk, and that residual returns to the household bill by default.

Decision link: Strategic Implications [1](#), [3](#) and [4](#).

4. You cannot buy a turbine before 2030

NEAR-TERM

The gas option is not expensive, it is unavailable, and that reorders every capital plan built on it over the next twelve months. The three large-frame manufacturers have sold their output to the end of the decade, the supporting equipment is on comparable lead times, and the cost of the units that can be delivered has risen faster than utility planning assumptions. The competitive consequence is that whoever holds a delivery slot holds the scarce asset, and whoever does not is choosing between waiting and building something else.

- GE Vernova's own quarterly statement is the clearest measure of the gap: "Gas Power equipment backlog and slot reservation agreements grew from 100 to 116 GW; now anticipate reaching at least 125 GW by year-end 2026" ([GE Vernova](#), Jul 2026). Annual output is planned to reach 30 GW by 2030, which is after the window most 2026 plans need it in.

- Mitsubishi's large-frame backlog reached 35 GW against 23 GW a year earlier, and orders booked in the first quarter of 2026 are scheduled for delivery between 2028 and 2030 ([Utility Dive](#), Aug 2026); Siemens Energy's stands near 69 GW with lead times beyond three years ([Utility Dive](#), Aug 2026) and Ansaldo is expanding into the same gap ([POWER](#), Sep 2026).
- The supporting equipment is no better: large power transformer lead times have stretched to four years, with generator step-up transformer demand up 274% between 2019 and 2025 ([pv magazine USA](#), May 2026).
- Price has moved with scarcity. IEEFA puts the newest combined-cycle proposals at least \$2,500 per kW installed, or \$2.5bn for a 1,000 MW unit ([IEEFA](#), Apr 2026), while utilities told second-quarter investors they are defending execution and ratepayer protection rather than negotiating on price ([Utility Dive](#), Aug 2026).

Counter-argument

Scarcity in one technology is not scarcity in supply. In the first half of 2026 the United States brought online 11,458 MW of utility-scale solar and 8,207 MW of batteries against 2,707 MW of natural gas across 46 projects ([Inside Climate News](#), Aug 2026), so the constraint binds the gas route rather than capacity additions as a whole, and the manufacturers are doubling capacity against 2024 levels ([GE Vernova](#), Jul 2026). The honest limit of that rebuttal is seasonal: solar at 32% of a Texan evening peak ([US Energy Information Administration](#), Aug 2026) is not the same resource as firm capacity on a still winter night, which is the hour the capacity auction is actually procuring for.

Decision link: Strategic Implications [2](#) and [3](#).

5. Heat and low water stopped being a weather story

NEAR-TERM

River flow and river temperature moved from a footnote in an outage report to an input in dispatch, fuel logistics and asset valuation, and they did so across two river basins in one season. If you own, finance or buy from a thermal or nuclear plant that takes cooling water from a river, the availability assumption in your model is now the thing most likely to be wrong. The same hazard also arrives on the demand side, which is why it belongs in the capacity conversation rather than beside it.

- Romania's Cernavoda plant, normally a fifth of national electricity, was fully offline in August for only the second time in its history, the first being 2003 ([Euronews](#), Aug 2026); the water authority put Danube flow at Romania's border at 1,650 cubic metres per second against a July average of 4,750, approaching the 1985 minimum of 1,400 ([Mediafax](#), Jul 2026).
- France lost output through the summer: around 3% in June and around 6% in July, with a record 15.6% of capacity missing ([Agence France-Presse, via Boursorama](#), Aug 2026), and 13 of 57 reactors affected at the peak of the episode ([Selectra](#), Aug 2026).

- Fuel could not move either. The Rhine at Kaub fell to 28 centimetres, the lowest since 2018, with coal inventories at Amsterdam, Rotterdam and Antwerp up about 75% since spring while barge loadings inland were cut by three-quarters ([Insurance Journal](#), Jul 2026): the coal existed, it was simply in the wrong place.
- Alpine hydro ran at 51% of normal in Austria, 48% in Switzerland, 63% in Germany and 68% in France in July ([Euronews](#), Aug 2026), with the substitute bought at the margin: EU gas generation rose 8% last year as hydro fell 12%.

Early indicators

- **WEAK SIGNAL** **Biology as an outage cause.** Jellyfish blockages at Gravelines sat alongside heat as a cause of lost French output this summer ([Agence France-Presse, via Boursorama](#), Aug 2026). It gains weight if a second operator reports a biological intake event in a different basin within a year.
- **WEAK SIGNAL** **A broader but shallower drought.** The Joint Research Centre records half of the EU and the UK in drought but only 9% of territory at alert level in July, against 18% at the 2022 peak ([the Commission's Joint Research Centre](#), Aug 2026). It gains weight, as a counter-indicator, if the 2027 season repeats the wide-and-shallow pattern rather than the intense one.

Counter-argument

2026 may be wide rather than deep. The Joint Research Centre's own comparison puts 9% of EU and UK territory at alert level in July against 18% at the 2022 peak and 6% in late August 2018 ([the Commission's Joint Research Centre](#), Aug 2026), which is a different shape of event rather than an unambiguously worse one. France's system operator stated before the summer that security of supply required no particular vigilance ([RTE](#), Jun 2026), and it was right: no shortfall materialised. The theme therefore claims availability risk and cost, not reliability failure, and it is falsified if the 2027 season passes with French unavailability back inside its historic band and no repeat river-logistics event.

Decision link: Strategic Implications [3](#) and [4](#).

Strategic Implications

Four decisions turn this cycle's evidence into the next planning round. Each names the move, the horizon and a decision posture.

SI 1: Re-underwrite large-load connections as long-dated contracts, not queue positions

Whoever owns site strategy should re-price every live and planned large-load connection against the terms now being approved, before the next capital approval rather than after it. Oregon's framework runs 10 to 30 years by project size, puts 100% of distribution upgrade costs on the customer, sets minimum generation and transmission demand charges at 90% of contracted capacity and adds a 1 cent/kWh surcharge above 100 MW ([Utility Dive](#), May 2026); twenty-three states now hold a comparable instrument with seven more pending ([Columbia's Sabin Center](#), Jun 2026); and Texas requires full disconnection within thirty minutes regardless of paired generation ([White & Case](#), Aug 2026). These are balance-sheet commitments with exit costs, and they are being decided now, which is why this is a Decide rather than a Prepare. The reason to move before the next approval is that the six RTO responses filed after FERC's 17 August deadline ([McGuireWoods](#), Jun 2026) will set the terms in the remaining markets while the approval is in flight.

Action: by 31 October 2026, the site or origination lead produces a one-page term exposure sheet per live connection covering contract length, minimum charge floor, upgrade-cost share and exit liability, and names the internal owner of each.

DECIDE

Draws on Themes 1, 2 and 3.

SI 2: Buy the delivery slot, not the technology

Capital planning should treat the manufacturing window as the scarce asset and decide its position on slot reservation before the 2027 budget closes. GE Vernova moved from 100 GW to 116 GW of backlog plus slot reservation agreements in a single quarter and expects at least 125 GW under contract by year end ([GE Vernova](#), Jul 2026), Mitsubishi is delivering first-quarter 2026 orders in 2028 to 2030 ([Utility Dive](#), Aug 2026), and transformers run to four years ([pv magazine USA](#), May 2026). The posture is Prepare rather than Decide because the right answer depends on a firm-capacity requirement the organisation may not yet have quantified: what actually came online in the first half of 2026 was 11,458 MW of solar and 8,207 MW of batteries against 2,707 MW of gas ([Inside Climate News](#), Aug 2026), and for many load shapes that is the better bridge. The decision to avoid is waiting for turbine prices to fall, at \$2,500 per kW and rising ([IEEFA](#), Apr 2026).

Action: by 15 December 2026, capital planning states a firm-capacity requirement by season and hour for the 2029 to 2032 window, and a reserve-or-decline position on slot reservation against it.

PREPARE

Draws on Themes 4 and 1.

SI 3: Put a water and river-temperature test into valuation and fuel logistics

Asset owners, lenders and insurers should add a water-availability case to thermal and nuclear valuation, and to any fuel contract that moves by barge, ahead of the next revaluation cycle rather than after the next summer. This season produced a full Cernavoda shutdown for only the second time in the plant's history ([Euronews](#), Aug 2026), a record 15.6% of French capacity missing ([Agence France-Presse, via Boursorama](#), Aug 2026), Alpine hydro at roughly half of normal ([Euronews](#), Aug 2026) and a three-quarters cut in inland coal barge loadings with the fuel itself in surplus at the coast ([Insurance Journal](#), Jul 2026). The posture is Prepare because no reliability event followed and France's system operator was right that supply security required no particular vigilance ([RTE](#), Jun 2026): the exposure is availability, cost and contractual, not systemic failure. That is precisely the kind of exposure a valuation model absorbs quietly and a credit committee never sees.

Action: before the next annual revaluation, risk adds a six-week water-constraint case to every river-cooled and barge-supplied asset in the book, and reports the revenue-at-risk figure to the audit or risk committee.

PREPARE

Draws on Themes 5 and 3.

SI 4: Track which cost-allocation instrument each jurisdiction actually chooses

Government affairs and regulatory teams should maintain a live view of the instrument in use in each market, because the instruments are diverging and each allocates the residual differently. The United States is using state tariffs ([Columbia's Sabin Center](#), Jun 2026) alongside a voluntary federal pledge claimed to cover 80% of power delivered to homes and businesses ([the White House](#), Jul 2026); Germany is subsidising transmission charges ([Bundesnetzagentur](#), May 2026); the Commission proposed cutting network charges for specific consumer groups ([European Commission](#), updated Jul 2026); Spain would make access revocable ([Aragon Digital](#), Sep 2026). Monitor is the right posture because none of these is yet stress-tested against a demand disappointment, and the signal that matters is not the announcement but the first instrument that survives one.

Action: from Q4 2026, the regulatory lead maintains a one-line-per-jurisdiction instrument register, reviewed at each quarterly risk meeting, flagging any move from voluntary pledge to enforceable tariff or from financial penalty to access conditionality.

MONITOR

Draws on Themes 3, 2 and 1.

Scenario Matrix

The two uncertainties that will shape this system more than any others over the next two to five years are whether the cost-allocation question settles into durable instruments, and how fast deliverable supply actually arrives. Cost allocation is the vertical axis, settled at the top and contested at the bottom. Supply delivery is the horizontal axis, slow on the left and fast on the right. The four scenarios below are planning aids, not forecasts.

SPEED OF DELIVERABLE SUPPLY

The Priced Queue

Tariffs and conditional connection terms hold. A large load knows what it will pay and for how long, and the terms survive a downturn because the developer, not the household, carries the network commitment. But turbines, transformers and connection dates stay scarce, so the settled rules mostly ration a queue rather than shorten it. Capacity prices stay at or near their ceilings and stop carrying information; procurement moves to bilateral contracts and slot reservation. Advantage goes to incumbents with existing interconnection rights and to anyone who reserved manufacturing capacity early. The political temperature falls because the allocation question has an answer, even though the physical shortfall persists.

Early indicators: Second and third states adopting Oregon-style term-and-collateral tariffs; a capacity auction clearing below its cap without a rule change; secondary trading in turbine slots becoming visible.

Build and Bill

The instruments hold and deliverable supply arrives, mostly as solar, storage and flexible load rather than as new gas. Manufacturing expansion lands, connection reform releases stalled projects onto non-firm terms, and the shortfall narrows without the household bill absorbing it. Capacity prices fall away from their ceilings and resume signalling. The competitive question shifts from access to operating cost, and the winners are those who can run flexibly against a volatile but adequate system. Water and heat remain the residual constraint, because they bind the existing thermal fleet regardless of how much new capacity is added, and they become the main source of surprise in an otherwise comfortable environment.

Early indicators: A large-load tariff surviving a cancelled project without a rate-base transfer; storage additions continuing above 8 GW per half-year; an RTO reporting a fall in firm-capacity shortfall.

1

2

The Blame Auction

The worst combination and the **CONTESTED · SLOW** nt. Instruments are announced but not tested, supply stays scarce, and the argument moves from how to build to who is at fault. Price caps are negotiated politically rather than set analytically, so the auction result becomes a communications exercise and the shortfall compounds quietly underneath it. Emergency authorities substitute for procurement. Large loads respond by going behind the meter where they can, which removes the flexibility the grid was counting on. Litigation and state-versus-federal jurisdiction fights consume the time that planning needs, and the cost eventually surfaces in bills that nobody has agreed to defend.

Early indicators: A fourth consecutive capped auction; a state withdrawing from a negotiated ceiling; growth in off-grid or prime-power data-centre announcements.

Behind the Meter

Supply arrives quickly but nobody agrees who should **CONTESTED · FAST** network that carries it. Large loads self-supply, co-locate and contract directly with generators, and the regulated system is left with the fixed costs and a shrinking base to spread them over. Household bills rise for reasons that have nothing to do with household consumption, which makes the politics worse rather than better. Regulators respond with exit fees and standby charges, and the contest moves from connection terms to departure terms. For an operator this is the environment with the widest gap between a good commercial outcome and a defensible public position, and the reputational exposure arrives before the regulatory one.

Early indicators: Rising standby and exit-fee filings; co-location approvals accelerating after the Texas order; a utility reporting falling regulated load against rising regional consumption.

What We Are Not Planning For

SYSTEMIC RELIABILITY

A drought-driven European supply failure this winter

The 2026 season took generation offline without taking the system down, and the operator best placed to judge said so in advance: France's system operator stated that security of electricity supply required no particular vigilance ([RTE](#), Jun 2026), and no shortfall followed. The Joint Research Centre's own comparison puts 9% of EU and UK territory at alert level in July against 18% at the 2022 peak ([the Commission's Joint Research Centre](#), Aug 2026), so this was a broader but less intense event than the one Europe already absorbed. The exposure this briefing carries is availability and cost, which is why it sits inside Theme 5 rather than here.

↺ **Reinstated if** a member state issues a winter supply warning attributable to hydrology, or French unavailability exceeds its 2022 peak.

JURISDICTION

Federal preemption of state cost allocation in the United States

It would resolve the messiest question in this cycle at a stroke, and there is no evidence it is coming. FERC explicitly preserved state authority over retail sales, customer eligibility and siting when it issued the show-cause orders ([Utility Dive](#), Jun 2026), and chose regional rules over a national standard ([McGuireWoods](#), Jun 2026). The federal instrument actually deployed was a voluntary pledge ([the White House](#), Jul 2026), which is the opposite of preemption. Planning for a single national rule would mean ignoring the twenty-three different instruments that already exist ([Columbia's Sabin Center](#), Jun 2026).

↺ **Reinstated if** FERC opens a rulemaking that reaches retail cost allocation, or federal legislation on large-load ratemaking is introduced with committee support.

DEMAND

A collapse in data-centre electricity demand inside the planning horizon

The demand correction that would relieve every constraint in this briefing is not visible in the spending. Aggregate capex across the five largest hyperscalers reached roughly \$490bn in the twelve months to May 2026 ([FactSet](#), Jul 2026), and ERCOT is planning against roughly 175,000 MW by 2032 ([The Texas Tribune](#), Jul 2026). What did change is the funding mix, with incremental debt rising from 9% to 32% of capex ([FactSet](#), Jul 2026). That is a real risk and it is tracked in Theme 3's counter-argument, but it is a risk to returns and to who absorbs stranded network cost, not a near-term demand collapse.

↺ **Reinstated if** two consecutive quarters of aggregate hyperscaler capex guidance cuts, or the first RTO to report a net fall in active large-load interconnection requests.

Questions For The Next Strategy Meeting

Five questions this cycle's evidence should put on the agenda.

- 01 If a capacity price at the ceiling the rules allow procured 317.1 MW against a 6,831.3 MW shortfall, what evidence would persuade us that the next auction is a procurement mechanism rather than a cost-allocation one, and what do we do differently in the meantime?
- 02 Oregon's approved terms run to thirty years with minimum charges at 90% of contracted capacity. Which of our live connection plans would we still approve on those terms, and who signs that off?
- 03 We can have a turbine slot or we can have optionality on technology, and at four-year transformer lead times we probably cannot have both. Which do we buy, and what firm-capacity number are we buying it against?

- 04 If a load that has signed a developer-pays tariff fails in 2031, does the network cost sit with the developer's administrator or with the household bill, and have we read the instrument in every jurisdiction where we hold exposure?
- 05 Jellyfish and a 34-year low on the Danube took capacity off two European systems in the same season. What is our revenue-at-risk if a water constraint binds for six weeks rather than six days, and is that number anywhere in our current model?

Source Confidence Register

This briefing draws on 47 verified sources, gathered under a hard six-month window (publications from March 2026 onward), with 3 structural anchors outside that window.

Source tiers: **Tier 1**, governments, regulators and intergovernmental bodies. **Tier 2**, think-tanks, academic institutes, major consultancies and quality data providers. **Tier 3**, quality journalism and specialist trade press. **Tier 4**, vendor, company and practitioner sources, used only as directional corroboration.

Theme 1: Paying more did not buy more power

Source	Tier	Date	Key claim used
PJM Interconnection	Tier 1	Jul 2026	Cleared at the \$325.00/MW-day UCAP cap, procured 149,181.6 MW UCAP in total, 6,831.3 MW below the RTO Reliability Requirement, with only 317.1 MW UCAP of new generation.
Utility Dive	Tier 3	Jul 2026	Third consecutive cap-clearing auction, about 525 MW of new resources including 208 MW of uprates, 6.8 GW below the 20% reserve margin target.
New Jersey Board of Public Utilities	Tier 1	Aug 2026	New Jersey bills rose roughly 20% last year driven largely by PJM capacity costs, which account for 15 to 20% of a typical bill; the state proposes large new users bring their own generation or accept lower-priority service.

Source	Tier	Date	Key claim used
PJM Interconnection	Tier 1	May 2026	PJM names a credibility trap in which the scarcity prices needed to signal investment trigger intervention that undermines it, and sets out three reform paths including explicit rationing by geography or customer class.
Office of Governor Wes Moore (Maryland)	Tier 1	Jul 2026	Maryland states the 2028/2029 BRA cleared at the administrative cap of \$325/MW-day and that the cap prevented \$13.3bn of excess costs across the 13-state footprint and the District of Columbia.
Commonwealth of Pennsylvania, Office of the Governor	Tier 1	Jul 2026	Pennsylvania puts the settlement's cumulative effect at \$18.2bn, with roughly \$45bn projected across four years for 67 million people and about \$207 per household in the 2028/2029 delivery year.
U.S. Energy Information Administration	Tier 1	Aug 2026	ERCOT set an hourly peak of 91.1 GW on 22 July 2026, 6% above the previous record of 85.5 GW from 10 August 2023, met primarily by natural gas at 48% and solar at 32%.
The Texas Tribune	Tier 3	Jul 2026	ERCOT projects roughly 175,000 MW of demand by 2032 against the 91,308 MW record of July 2026; the generation queue holds about 460,000 MW of interest, around 70% of it solar and storage and about 78,000 MW gas; at the moment the 22 July record was set the grid held more than 20,000 MW of buffer between demand and committed generation capacity.

Theme 2: The regulator rewrote the rules for every large load

Source	Tier	Date	Key claim used
McGuireWoods	Tier 2	Jun 2026	FERC ordered all six RTOs and their transmission owners on 18 June 2026 to justify or revise large-load interconnection tariffs, with responses due 17 August 2026 across five reform categories.

Source	Tier	Date	Key claim used
White & Case	Tier 2	Aug 2026	On 24 July 2026 the PUCT ruled that emergency curtailment of co-located large loads is not limited by the paired generator's capacity: the load must be able to disconnect fully within 30 minutes.
Ofgem	Tier 1	Jul 2026	Contracted demand offers rose from 41 GW to 125 GW in under a year, around 80 GW of it data centres; Ofgem proposes a commitment fee and progress milestones to clear speculative applications.
North American Electric Reliability Corporation	Tier 1	May 2026	Resources rose by over 58.5 GW and peak demand by over 11 GW since 2025; NERC flags voltage-sensitive load reduction events of roughly 1,500 MW in both the Eastern and ERCOT interconnections.
Herbert Smith Freehills Kramer	Tier 3	Jul 2026	Ofgem and DESNZ propose reforming demand-side connections with entry criteria, deposits or progression fees for data centres, and post-offer milestones covering customer acquisition and long-lead procurement.
Utility Dive	Tier 3	Jun 2026	FERC gave the six RTOs 60 days to respond, extendable to 150, required evaluation of alternative transmission technologies before conventional upgrades, and preserved state authority over retail sales and siting.
Federal Energy Regulatory Commission	Tier 1	Evergreen	The docket covers interconnection of loads generally above 20 MW and seeks input on expedited study timelines, cost allocation and reliability evaluation; the Secretary of Energy directed FERC to consider the ANOPR on 23 October 2025.

Source	Tier	Date	Key claim used
Agency for Natural Resources and Energy, Ministry of Economy, Trade and Industry (Japan) <i>(in Japanese)</i>	Tier 1	May 2026	From April 2026 Japanese data centre operators must report electricity use, PUE and energy intensity, publish targets annually by 31 March, reach PUE of 1.4 or below by fiscal 2030, and 1.3 or below for centres built from fiscal 2029.

Theme 3: Who pays for the grid became the live political question

Source	Tier	Date	Key claim used
Bundesnetzagentur <i>(in German)</i>	Tier 1	May 2026	The AgNes reform shifts consumers above 100,000 kWh a year from performance to capacity pricing, introduces capacity charges on generators of EUR 4 to 7 per kW a year, and raises base fees for prosumers.
Smart Electric Power Alliance	Tier 2	Apr 2026	77 approved and proposed large-load tariffs across 60 utilities as of 31 March 2026; state regulators approved 29 in 2025 alone against 14 in the whole of 2018 to 2024.
The White House	Tier 1	Jul 2026	The expanded pledge covers over 200 utilities, data centre developers, cooperatives and states, and claims to cover 80% of all power delivered to US homes and businesses.
Utility Dive	Tier 3	May 2026	Oregon approved PGE's Schedule 96 on 7 May 2026: contracts of 10 to 30 years by size, 100% of distribution upgrade costs on the customer, minimum demand charges at 90% of contracted capacity, and a 1 cent/kWh surcharge above 100 MW.
Sabin Center for Climate Change Law, Columbia Law School	Tier 2	Jun 2026	As of May 2026, 23 states have at least one large-load tariff in place and seven more have proposals pending; Virginia's takes effect 1 January 2027.

Source	Tier	Date	Key claim used
Sierra Club	Tier 3	Jul 2026	Cites an independent analysis putting the rise in annual customer costs in PJM at \$12.5bn since June 2025, from \$2.2bn in 2024 to \$14.7bn the following year, with 67 million customers paying more even under the negotiated ceiling.
Aragon Digital (<i>in Spanish</i>)	Tier 3	Sep 2026	Spain's draft decree would require data centres to source 80% of their energy from new renewable capacity through self-consumption or long-term contracts, with escalating charges on the electricity bill for failure and loss of network access for repeated breach; over 600 responses were filed in consultation.
European Commission, Directorate-General for Energy	Tier 1	Evergreen	The Commission adopted guidance on network charges in December 2025 as part of the Grids Package, and in July 2026 proposed reducing network charges for certain consumer groups and taxes for energy-intensive businesses alongside faster smart-meter deployment.

Theme 4: You cannot buy a turbine before 2030

Source	Tier	Date	Key claim used
POWER Magazine	Tier 3	Sep 2026	GE Vernova reported 116 GW of gas turbine capacity under contract at the end of Q2 2026, up from 100 GW three months earlier, and is mostly sold out through 2030.
Utility Dive	Tier 3	Aug 2026	Siemens Energy's gas services backlog reached 69 GW, with lead times of three years or more and expansion plans adding 15 large units in 2027 and 20 medium units by 2028.
pv magazine USA	Tier 3	May 2026	High-capacity transformer lead times extend to four years, with generator step-up transformer demand up 274% between 2019 and 2025 against constrained grain-oriented electrical steel and copper supply.

Source	Tier	Date	Key claim used
Utility Dive	Tier 3	Aug 2026	Mitsubishi's large-frame backlog reached 35 GW, up from 23 GW a year earlier; orders booked in Q1 2026 are scheduled for delivery between 2028 and 2030, and the company is doubling manufacturing capacity against 2024 levels.
Institute for Energy Economics and Financial Analysis	Tier 2	Apr 2026	The newest combined-cycle proposals price at least \$2,500 per kW installed, or \$2.5bn for a 1,000 MW unit, roughly triple early-2020s costs, pushing implied power prices toward \$107/MWh against earlier \$45 to \$75/MWh estimates.
Inside Climate News	Tier 3	Aug 2026	Of 368 utility-scale plants online in the US in the first half of 2026, solar added 11,458 MW and batteries 8,207 MW, against 2,707 MW of natural gas across 46 projects.
Utility Dive	Tier 3	Aug 2026	On Q2 2026 calls the three major gas turbine makers were reported with backlogs from 35 to 116 GW, and Duke's CEO said the company is deploying more than \$1bn a month to meet record demand.
GE Vernova	Tier 2	Jul 2026	Gas Power equipment backlog and slot reservation agreements grew from 100 GW to 116 GW in the quarter, with at least 125 GW anticipated under contract by year-end 2026 and annual output planned at 20 GW in Q3 2026, 24 GW in 2028 and 30 GW by 2030.

Theme 5: Heat and low water stopped being a weather story

Source	Tier	Date	Key claim used
Selectra (in French)	Tier 3	Aug 2026	13 of 57 French reactors affected, eight fully stopped and five at reduced power, 20.4% of capacity unavailable; Romania lost both Cernavoda units on low Danube levels; EDF climate losses around 0.3% a year could reach 1.4% by 2035.

Source	Tier	Date	Key claim used
RTE <i>(in French)</i>	Tier 1	Jun 2026	The system operator judged supply security to require no particular vigilance during the heatwave and expected generation to cover demand.
Agence France-Presse (via Boursorama) <i>(in French)</i>	Tier 3	Aug 2026	EDF nuclear output fell about 3% in June and 6% in July, with a record 15.6% of capacity missing on one Sunday; three Gravelines reactors were shut by tonnes of jellyfish in the sea-water intakes.
Euronews	Tier 3	Aug 2026	Both Cernavoda units were offline on 13 August 2026; the plant normally supplies a fifth of Romania's electricity and had been shut for drought only once before, in 2003.
Mediafax <i>(in Romanian)</i>	Tier 3	Jul 2026	Apele Romane put the Danube flow at Romania's border at 1,650 cubic metres per second in late July 2026 against a July average of 4,750, and forecast about 1,500 by early August against a 1985 record minimum of 1,400.
Insurance Journal	Tier 3	Jul 2026	Kaub fell to 28 centimetres in late July 2026, the lowest since 2018, with a forecast of 24 centimetres, the lowest in records back to 1990; ARA coal inventories rose about 75% since spring while barge loadings inland were cut by three-quarters.
Joint Research Centre, European Commission	Tier 1	Aug 2026	The European Drought Observatory recorded half of the EU and the UK under drought at some level and 9% of the territory at alert level in July 2026, against 18% at alert at the 2022 peak in mid-August and 6% in late August 2018.
Euronews	Tier 3	Aug 2026	July 2026 hydro output ran at 51% of normal in Austria, 48% in Switzerland, 63% in Germany and 68% in France, with EU gas generation up 8% last year against 2024 as hydro fell 12%.

Continuity Ledger

Source	Tier	Date	Key claim used
PJM Interconnection	Tier 1	Jul 2026	PJM hit an all-time peak of 168,158 MW between 5 and 6 p.m. on 2 July 2026, past the 165,563 MW record of 2 August 2006, with demand response of about 6,113 MW on 2 July and 5,037 MW on 3 July; the backup-generator curtailment action was authorised but never issued.
Utility Dive	Tier 3	May 2026	The DOE order of 18 May 2026 let PJM curtail large loads with backup generation as a last resort before rolling blackouts; PJM expected under 5,800 MW of reserves at the 18 May peak with more than 40 GW offline for planned outages.
FactSet	Tier 2	Jul 2026	Aggregate capex across the five hyperscalers rose from \$95bn of investing cashflows in FY20 to around \$490bn in the twelve months to May 2026, with incremental debt as a share of capex up from 9% in FY24 to 32% in the year before June 2026 and total debt near \$700bn.
Insurance Business	Tier 3	Jul 2026	Global insured natural catastrophe losses were \$46bn in H1 2026, the lowest first half since 2019 and 28% below the \$64bn ten-year average, with only 11 events above \$1bn against a ten-year average of 16; property reinsurance rates fell 12% at 1 January and 16% at the July midyear renewal.
Intelligent Insurer	Tier 3	Apr 2026	The FAIR Plan added 15,779 policies in Q1 2026, a 2.4% gain, lifting total exposure by \$27bn or 3.7% in the quarter and 25% year on year.

Source	Tier	Date	Key claim used
Data Center Knowledge	Tier 3	Jul 2026	A Virginia DEQ study found no location east of Interstate 95 could support a hypothetical three million gallon per day industrial groundwater withdrawal under current permitting standards, with sustainable limits ranging from 360,000 gallons per day in Northumberland County to under 30,000 in Henrico and Sussex.
Bank of England	Tier 1	Evergreen	The 2026 Dynamic General Insurance Stress Test closed its live simulation phase in May 2026; the Bank is analysing firm submissions and states that findings will be published at an aggregate level later in 2026.

Claim-fidelity self-disclosure

This appendix records every claim in the briefing that goes beyond what a cited source literally states, so a reader can see where the analyst's judgment enters.

Cycle-over-cycle continuity claims

Every statement in this briefing about what a previous edition said is checked against that edition's own record, not against memory or paraphrase. Eight appear, all inside the Continuity ledger. Seven grade the seven milestones the 16 July edition set for this cycle: the Q2 capex prints, the Atlantic season against the soft-pricing bet, whether any grid executed data-centre curtailment, the California FAIR Plan trajectory, data-centre water-permit denials, the Bank of England stress-test results, and the PJM 2028/2029 clearing price. The eighth is a correction rather than a grade. The July edition recorded the 2 July PJM peak as roughly 162.7 GW and concluded that the 2006 record had held; PJM's own account puts the peak at 168,158 MW, above the 165,563 MW record. That reading is withdrawn here rather than quietly restated, because it was load-bearing for July's argument that the grid passed the summer without breaking anything.

Superlatives used

Every "first", "only", "largest" and "record" in the briefing was checked against the source behind it. Most turn out to be calendar or counting words rather than claims ("first quarter", "first half of 2026", "only 9% of territory"). Five are genuine superlatives and each is carried by a source using the same word for the same referent: "only the second time in its history" for the Cernavoda

shutdown, and "just once before, in 2003", are Euronews's characterisation; "record 15.6%" of French capacity missing is AFP's; "all-time peak" for the 2 July PJM record is PJM's own; "lowest since 2018" for the Rhine at Kaub is Insurance Journal's. Three are analyst characterisation with no source behind them, kept because they are framing rather than claims, and disclosed here: "the defining fact of this cycle", "the three large-frame turbine makers have sold the decade", and "the clearest measure of the gap" for GE Vernova's own statement. Three further superlatives were removed at draft rather than defended: an earlier sit-up line claiming the auction cleared at "the highest price on record" was factually wrong, because the 2027/2028 auction cleared higher at \$333.44/MW-day, and now reads "the highest price the rules allow"; "two of Europe's largest rivers" is now "the Rhine and the Danube"; and Japan's PUE floor is described as "a hard performance number" rather than "the first".

Analytical synthesis claims

Four judgments read across sources and none is stated by any single source. First, that the binding constraint is delivery rather than willingness to pay: this draws on the PJM auction report, PJM's market-design paper, the three OEM order books and the EIA and Texas Tribune ERCOT figures, and is marked in the text as this briefing's reading. Second, that a price cap which holds the bill down while the shortfall widens is a bill-management instrument rather than a procurement one: this reads the Maryland and Pennsylvania releases against the auction report, and both governments would contest the characterisation. Third, that cost-allocation instruments transfer cost without transferring demand risk: this combines the Sabin Center's state count, the Oregon terms and the FactSet funding data, and is framed in the text as "on the available evidence". Fourth, that river flow and temperature have become scheduling inputs rather than tail risks: this reads the Romanian, French, Alpine and Rhine evidence together and is framed as "taken together, the sources suggest". The counter-argument in each theme is the disconfirming case for that judgment, not a rival frame.

Two figures in this briefing are analyst constructions with no source entry of their own. The bar chart restates figures from the PJM auction report to scale. The convergence diagram is drawn from the cross-impact grid in the same topic's Change Tracker and re-sourced against this cycle's evidence; its compound-exposure statement is the analyst's, not a source's.

This Decision Intelligence briefing is the quarterly synthesis of a Shaping Tomorrow intelligence cycle on **Energy, Infrastructure & Climate Resilience**. It sits on top of weekly Signal Scans that identify emerging developments and weak signals, and monthly Change Trackers that assess what is materially shifting in momentum. Cycles may also close with Action Triggers, an end-of-cycle synthesis that reads across all four formats and surfaces patterns no single deliverable carries on its own. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

Discuss a Tailored Programme

Prepared by Shaping Tomorrow: 17 September 2026